Q4 FY2024 Board Finance Pack

Aurora Retail Holdings

Prepared by: FP&A

Date: February 15, 2025

Section 1 – Executive Summary

1.1 Overview

- Full-year FY2024 net revenue grew 7.2% year-over-year to USD 3.45B, driven primarily by same-store sales growth in the Core Retail segment and continued expansion of our Marketplace offering.
- Q4 FY2024 operating margin was 9.8%, up 80 bps versus Q4 FY2023, reflecting improved inventory discipline and lower freight costs, partially offset by higher wage investments.
- Free cash flow for FY2024 was USD 245M, an increase of USD 60M versus the prior year, supporting continued store remodels and technology investments.
- Key risks heading into FY2025 include softer discretionary spending, ongoing wage inflation, and continued pressure on delivery costs for same-day fulfillment.

1.2 Key highlights

- Core Retail comp sales were +5.1% for the full year, with strength in Essentials and Beauty offsetting softness in Home and Electronics.
- Marketplace gross merchandise value (GMV) grew 32% year-over-year, now representing 11% of consolidated revenue.
- Digital sales grew 14% year-over-year and now account for 24% of total revenue; same-day services (pickup and delivery) represent 62% of digital orders.
- We ended the year with net debt / EBITDA of 1.9x, within the Board's target range of 1.5x–2.0x and comfortably inside our covenant threshold of 3.5x.

1.3 Key watchpoints

- Gross margin improved by 60 bps year-over-year, but we are seeing pressure from promotional intensity in Q1 FY2025 to clear seasonal inventory.
- Store labor hours per transaction increased 3%, driven by higher service levels and training for new associates; productivity initiatives are planned for H1.
- Marketplace returns and refund rates are trending above plan in select categories; FP&A and Operations are working on a root cause analysis and revised fee structure.

Section 2 – P&L Summary (Consolidated)

2.1 Consolidated P&L (USD millions)

Table 2.1 – Quarterly P&L Summary

Metric	Q4 FY2023	Q1 FY2024	Q2 FY2024	Q3 FY2024	Q4 FY2024	FY2023	FY2024	YoY % FY
Net Revenue	820	780	830	870	970	3,220	3,450	+7.2%
Cost of Goods Sold	560	530	560	580	640	2,220	2,310	+4.1%
Gross Profit	260	250	270	290	330	1,000	1,140	+14.0%
Gross Margin %	31.7%	32.1%	32.5%	33.3%	34.0%	31.1%	33.0%	+190 bps
Operating Expenses	185	190	195	205	235	750	820	+9.3%

Operating Income	75	60	75	85	95	250	320	+28.0%
Operating Margin %	9.1%	7.7%	9.0%	9.8%	9.8%	7.8%	9.3%	+150 bps
Net Income	49	40	50	57	63	170	210	+23.5%

2.2 Commentary

- Revenue growth accelerated to 18.3% in Q4, driven by holiday demand and a strong promotional plan in our Core Retail segment.
- Gross margin expansion reflects improved inbound freight rates, a higher mix of private label, and disciplined markdown management.
- Operating expenses grew faster than sales due to:
  - Wage rate increases implemented in Q2;
  - Higher technology spend on digital capabilities;
  - Incremental marketing investment to support Marketplace.

Section 3 – Segment Performance

3.1 Segment overview

Aurora Retail Holdings manages three primary segments:

- Core Retail (stores and owned e-commerce)
- Marketplace (third-party sellers on our platform)
- Services (credit card program, extended warranties, and other ancillary services)

Table 3.1 – FY2024 Segment Revenue and Margin

Segment	FY2023 Revenue	FY2024 Revenue	YoY %	FY2024 Operating Margin %
Core Retail	2,350	2,480	+5.5%	8.7%
Marketplace	280	370	+32.1%	6.2%
Services	590	600	+1.7%	22.5%

3.2 Key segment highlights

- Core Retail:
  - Strong growth in Essentials (+9%) and Beauty (+12%);
  - Home and Electronics declined 3% as customers shifted to value and experiences.
- Marketplace:
  - GMV grew 32% with improved seller onboarding;
  - Return rates are above plan in Apparel and Home, impacting fulfillment and service costs.
- Services:
  - Credit portfolio performance remained stable;
  - Card penetration increased modestly, but fee income was flat due to higher rewards.

Section 4 – Cash Flow and Liquidity

4.1 Cash flow summary

Table 4.1 – FY2024 Cash Flow (USD millions)

Metric	FY2023	FY2024
Cash Flow from Operations	220	290
Capital Expenditures	(120)	(145)
Free Cash Flow	100	145
Net Borrowings (Repayments)	20	(25)
Ending Cash Balance	80	110

4.2 Liquidity position

- We ended FY2024 with:
  - Cash and equivalents: USD 110M
  - Undrawn revolver capacity: USD 200M
  - Net debt / EBITDA: 1.9x (vs. covenant threshold of 3.5x)
- There were no covenant breaches or waivers requested during the year.
- The current liquidity position supports our planned store remodel program and ongoing digital investments.

4.3 Key liquidity watchpoints

- Continued investment in same-day fulfillment will require working capital discipline (inventory turns and payables management).

- We are monitoring potential refinancing risk for USD 150M of term debt maturing in FY2026.

Section 5 – Outlook and Guidance

5.1 FY2025 outlook (preliminary)

Table 5.1 – FY2025 Guidance Range

Metric	FY2024 Actual	FY2025 Guidance Range
Net Revenue Growth	+7.2%	+5% to +7%
Operating Margin %	9.3%	9.0% to 9.5%
Capital Expenditures	145M	160M to 180M
Free Cash Flow	145M	140M to 160M

5.2 Narrative

- We expect revenue growth to moderate as the consumer environment normalizes but remain positive across all segments.
- Operating margin is expected to be broadly stable as gross margin improvements are offset by continued wage and technology investments.
- Capex will increase to support store remodels, fulfillment capacity, and core systems modernization.
- Key priorities for FY2025:

- Improve Marketplace unit economics, especially returns and customer service costs;
- Maintain inventory discipline to avoid excess markdowns;
- Execute the first wave of store remodels on time and on budget.

5.3 Risks and opportunities

- Upside:
  - If Marketplace growth remains above 30% and we improve contribution margins, there is upside to profitability.
- Downside:
  - A deeper consumer downturn or elevated promotional activity from competitors could pressure both revenue and margin.